24/7 Financial Advice

THERE ARE OCCASIONS when we all flip on the TV and watch live events unfold in real time. National disasters, wars, and big sporting events are the last vestiges of the prior generation of broadcast television. In those olden days, there were only three networks, and mornings in the office led to water cooler discussions of the big broadcast last night.

Note the anachronisms in that sentence: *networks, office, water cooler, broadcast.*

As someone immersed 24/7 in the modern financial mediascape, I have an unusual perspective. Professionally, I have learned how to contextualize noisy distractions. Spend some years as a trader, and you must learn to compartmentalize your emotions. Good traders understand context and framing, seeing the nuances that lead to better decision-making. It is a skill that transfers well as you shift from trading to investing.

As a professional money manager, I never want to lose touch with how Main Street feels about what's going on in the market, especially during high-volatility sell-offs. What the non-professional sees, hears, and especially *feels* affects capital flows—and eventually, prices.

In February 2020, Mr. Market was starting to sniff out the pandemic. I have vivid recollections of my vacation, reading a book on a Caribbean beach. My connectivity was limited, I had no Bloomberg Terminal, and limited internet. I learned what was going on from Twitter and financial TV(!). That experience revealed why Mom & Pop investors have given up on Wall Street, turned off the TV, and migrated trillions of dollars to low-cost index funds.

For many, this is an easy solution to a complex problem that I believe works well (more on this later).
